CG Power & Industrial Solutions Ltd

Concall-Tracker report | ticker CGPOWER | Q2-2027 update (continues the Q1-2027 report) | prepared 07 Nov 2026 | based on the Q2 FY27 earnings-call transcript (company website, cgglobal.com)

1. Snapshot

What the business does: CG Power makes the equipment that carries and uses electricity. Power Systems builds large power transformers, switchgear and high-voltage circuit breakers for grids, factories and data centres. Industrial Systems makes electric motors (India's market leader), drives and railway equipment. A newer third leg is semiconductors: a chip assembly-and-test plant in Sanand (CG Semi) and a chip-design business (Axiro). It is controlled by the Murugappa Group through Tube Investments of India.

Number	Value	Plain-English read
Market value (Screener, Nov 2026)	₹1,21,785 cr	What the whole company is worth on the stock market today.
Price-to-earnings (P/E)	~78	Buyers pay about ₹78 for every ₹1 of yearly profit: a very rich price that assumes years of fast growth.
Q2 FY27 sales (Jul-Sep 2026, standalone)	₹3,505 cr, up 32%	A record quarter, and growth sped back up from 16% last quarter.
Q2 FY27 profit after tax (standalone)	₹450 cr, up 47%	Profit grew half as fast again as sales: about ₹13 kept from every ₹100 of sales, up from ₹12.
Q2 FY27 consolidated sales / profit before tax	₹3,802 cr (+30%) / ₹559 cr (+44%)	The group number is a bit lower because the chip businesses still cost about ₹35 cr a quarter.
Order backlog (standalone, 30 Sep 2026)	₹21,820 cr, up 61%	Work already won but not yet delivered: well over a year and a half of sales in hand.
Borrowings (Screener, latest)	₹91 cr	Practically debt-free.
Return on capital (ROCE)	~29% (Screener); 27% annualised for Q2 (mgmt, standalone)	Earns a very high profit on the money invested in the business.

2. Concall coverage

Period	Call date	How it was used
Q3 FY19 sample + Q1 FY26 → Q4 FY26 (old Avantha era plus four Murugappa-era calls)	2019; Jul 2025 - May 2026	Carried forward from the Q4-2026 and Q1-2027 reports
Q1 FY27 (prior report's boundary)	24 Jul 2026	Carried forward from the Q1-2027 report
Q2 FY27	**23 Oct 2026**	**Newly deep-read in full ★**

Only the new Q2 FY27 call was read in full this quarter; the backstory comes from the earlier reports. Screener had not yet picked up this transcript, so it was taken from the company's own investor page (Analyst Interaction, uploaded 29 Oct 2026). The current management team now has six quarterly calls on record.

★ Latest concall highlights: Q2 FY27 (call held 23 Oct 2026)

- **Best quarter yet.** Standalone sales up 32% to ₹3,505 cr and profit before tax up 47% to ₹602 cr (17.2% of sales vs 15.4%). Growth bounced back hard after last quarter's slower 16%.
- **Orders exploded.** Order intake ₹8,016 cr, up 90%. Power Systems alone took ₹6,258 cr of orders (up 137%) and its backlog is ₹18,964 cr (up 81%). Export orders rose about 200% (roughly tripled). Management says there was no single giant order: utilities, AI and data-centre buyers, domestic and export all chipped in.
- **The big transformer plant is open.** The greenfield Sehore (Madhya Pradesh) plant rolled out its first transformer on 4 Sep 2026, 13 months after work began. It builds 220-1,200 kV units, up to about 35 a month at peak. This was the vague date we flagged last quarter.
- **Still more capex.** Switchgear and the old Bhopal (T3) transformer plant run at full capacity, so the board approved: ₹300 cr for bushings and instrument transformers at Nashik S1 (30-36 months), ₹15 cr for 3,600 more circuit breakers a year at S3 (6-9 months), a bigger GIS testing setup at Vilholi, and ₹68 cr to squeeze 10,000 MVA more out of T3 (12-15 months). Core capex about ₹1,000 cr this year and ₹700-800 cr next, chips excluded.
- **Tone:** very confident ("future is bright", "still counting" on capacity) but still no guidance, no export split, and the Kavach rail-safety order still has not started.

Business mix & capacity (quick facts)

Domestic vs exports: Not broken out; management again declined. Export orders rose about 200% this quarter. Still mainly an Indian business, with exports growing very fast from a small base.

Capacity: Bhopal (T3) power-transformer plant at "maximum capacity", about 65,000 MVA (to become 75,000 MVA within 12-15 months). Sehore adds roughly 10,000 MVA-plus this quarter, ramping toward about 45,000 MVA; total power-transformer capacity is heading to about 1,20,000 MVA. Distribution transformers about 12,000 MVA. Switchgear plants at "peak capacity utilization". No percentage given. Read: every big plant is full, which is why new money keeps going in.

★ Since our last report

Builds on the Q1-2027 report (boundary call 24 Jul 2026). Prior verdicts: Trigger **YES** · Consistency **YES**.

Prior read	What we said then	What the new call shows	Movement
Trigger: grid and data-centre boom	Power Systems sales +31%, margin ~23%, backlog +59%	Sales +41%, margin 25%, backlog +81%, orders +137%	Confirmed
Consistency	Five straight quarters of saying-then-doing	Sixth: margins up again, the transformer plant opened	On-track
Greenfield transformer plant date gone vague	"Next few months" after a Jul-Aug 2026 promise	First transformer rolled out at Sehore on 4 Sep 2026	Confirmed (resolved)
Chip-plant losses	~₹43 cr drag in Q1; G1 plant just started	Drag about ₹35 cr; Axiro at breakeven; no new G1 customers named; G2 commercial output pushed to "end of '28 or '29"	Improving, slowly
Kavach approval "in 4-6 weeks"	Promised in July	Still waiting for the final approval; "definitely in the current quarter"; orders could lapse and be retendered if it slips	Slipping
Motors: full IE3-IE5 range in 12 months	Promised in July	First new frame launched 3 Aug, one more every 45 days; motors margin in double digits	On-track

Last quarter's promises scored: (1) order book up sharply and the June switchgear plant running: **Delivered** (backlog up 61%, switchgear plants now full and getting more capex). (2) chip-plant losses: **Partly** (drag fell from about ₹43 cr to about ₹35 cr and Axiro broke even, but the plant still loses money and G2 is years away).

Checkpoint results: Delivered | Partly

Verdict change this quarter: both verdicts unchanged. The one soft spot from last time, the transformer plant date, is fixed. The new soft spot is Kavach, which is small next to Power Systems.

★ 3. Earning-trigger thesis

Same engine, running faster. India's grid build-out plus a global shortage of big transformers, with data-centre and export buyers on top, pushed Power Systems sales up 41% at a 25% margin and lifted its backlog to ₹18,964 cr. The Sehore plant has just opened and every older plant is full, so output can keep rising for a couple of years. Motors are a steady second engine with margins back in double digits. Semiconductors still cost money and are years from mattering.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Power Systems / transformer & switchgear cycle	Orders from utilities, AI, data centres, domestic and export; "future is bright"	Sales +41%, margin 25%, orders +137%, backlog +81%	Now → several years	Strong	↑ growth and margin both up
Capacity additions	Sehore live; T3 +10,000 MVA; more switchgear lines	First Sehore transformer 4 Sep 2026; ~₹400 cr new capex approved	0-36 months	Strong	↑ plant date now firm
Exports	No split given; "good mix" heading the way they want	Export orders up ~200%; US utility qualification still a long job	1-3 years	Moderate	↑ order growth sped up
Motors	New IE3/IE4 frames every 45 days; price rises only cover commodity costs	Industrial PBIT margin 9.4%, up 50-60 bps a quarter; motors double digit	Ongoing	Moderate	Unchanged
Semiconductors (CG Semi + Axiro)	G2 qualification mid-2027, output end-'28/'29; bought TOSIL for design talent	~₹35 cr drag; Axiro breakeven; ~₹2,000 cr spent incl. govt support	3-5 years	Unproven	Unchanged
Kavach (G.G. Tronics)	Final approval "definitely in the current quarter"	Order book still ~₹1,069 cr; no production yet	0-1 year	Unproven	↓ approval late

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Already practically debt-free; nothing said.
New business	Yes	Axiro bought TOSIL Systems (chip design and embedded services) for ₹16.44 cr on 20 Aug; power electronics work "over and above switchgear transformers" (23 Oct 2026)
Margin up	Yes	Power Systems PBIT 25% vs 20.7%, "strong price realization and better operating leverage" (23 Oct 2026)
New management	No	Only a new consumer-products head and a recently joined CTO; no CEO/MD/CFO change.
New capacity	Yes	Sehore greenfield transformer plant "made operational" on 4 Sep 2026; T3 +10,000 MVA and switchgear expansions approved (23 Oct 2026)
Big orders	Yes	Order intake ₹8,016 cr (+90%); backlog ₹21,820 cr (+61%) (23 Oct 2026)
Turnaround	No	Not discussed; the turnaround happened years ago.
Promoter buying	No	Not discussed.

The single concrete driver: Grid, data-centre and export orders for power transformers and switchgear, now backed by the new Sehore transformer plant.

3c. Margin bridge

Standalone profit before tax was 17.2% of sales against 15.4% a year ago. Most of the gain came from Power Systems (25% vs 20.7%), on better prices and fuller plants. Motors helped too: prices went up over 30% in a year, which only covered metal costs, and the real gain came from cost and waste cutting. Management says it hopes to "either maintain or go above these margins" and repeats that railways will stay flat or dip by choice. (lasting)

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q1 FY26 - Q4 FY26	Orders, capacity, margins, ₹3,000 cr share sale, switchgear plant on time	All delivered (from prior reports)	Delivered
Q4 FY26 (May-26)	Greenfield transformer plant Jul-Aug 2026	First transformer rolled out 4 Sep 2026: a few days late, but done	Delivered (just late)
Q1 FY27 (Jul-26)	Kavach approval in 4-6 weeks	Still pending three months later; now "this quarter"	Missed (so far)
Q1 FY27 (Jul-26)	Full IE3-IE5 motor range in 12 months	First frame 3 Aug, then one every 45 days	On track
Q1 FY27 (Jul-26)	Lumpy sales, not a slowdown	Sales growth back to 32%	Delivered
Q2 FY27 (Oct-26)	Kavach this quarter; Sehore adds ~10,000 MVA this quarter; margins held or better	To be checked next quarter	Too early
Avantha era (2016-19)	Old management's growth claims	Fund diversion and near-collapse (different, removed team)	Broken (old team)

Narrative drift: none. Six calls in, the story is the same: Power Systems, new plants, motor margins, a slow chip build. Management is still tight-lipped (no guidance, no export split, "you're asking me too many details"), but what it does say keeps coming true. Small wrinkle: the old Bhopal plant was put at about 65,000 MVA this call against about 75,000 MVA in the July call; the new T3 upgrade takes it to 75,000, so read the earlier figure as loose. The one real miss is Kavach, which depends on a railway approval rather than the company's own plants.

5. Bottom line: two verdicts

Durable earning trigger? → YES

vs last quarter: unchanged

If anything it got stronger. Power Systems grew 41% at a 25% margin, orders jumped 137%, export orders roughly tripled, and the Sehore plant that looked vague last quarter is now running. The driver is real and already in the numbers. Chips and Kavach are extra upside that isn't proven yet.

Management consistent? → YES

vs last quarter: unchanged

The transformer-plant worry from last quarter went away: it opened in early September. Sales growth bounced back, as they said it would. The dent this time is Kavach: "4-6 weeks" in July became "this quarter" in October, with a risk of orders lapsing. That isn't enough to downgrade a six-quarter record. The stock's P/E near 78 still leaves little room for a slip.

★ 6. Checkpoints for next quarter

- Kavach gets final approval and production starts
- Sehore plant ships transformers and adds about 10,000 MVA of output
- Power Systems margin holds near this quarter's 25%

Prepared from CG Power's Q2 FY27 earnings-call transcript (23 Oct 2026, cgglobal.com Analyst Interaction), the Q1-2027 and Q4-2026 Concall Tracker reports for backstory, and Screener financial snapshot files. Not investment advice.